

the management expertise, the competition in the market and many other factors.

How to find the people who want to invest? Firms that want to raise 'equity' capital go to a stock exchange. This is a marketplace where firms get themselves listed. This means the stock exchange has some basic rules of hygiene that the firm must stick to.

Think of a local market that is run by the municipal authority. The rules are that each shop must have a registration number, must maintain some cleanliness, must obey the market-closing time, must provide an hour of lunch break for employees, and so on. Only shopkeepers that stick to rules can open a store. A stock market also has some rules that firms that want to be listed must obey.

I will not get into a detailed study of these rules because we don't need to know them at this stage. But what you need to remember is that as markets grow and events happen these rules of the game also change. A stock exchange has an oversight authority called the capital market regulator. In India this entity is called the Securities and Exchange Board of India (SEBI).

SEBI sets up the rules of the game around the equity market. Stock exchanges have to abide by them. The firms that list have to abide by SEBI and stock exchange rules. ***What you need to understand is that when we talk about investing in equity, we are not talking about gambling on the street.*** This is a legitimate marketplace with rules.

Retail investors who make big losses on the stock market are people who don't follow the rules that small investors must follow. Remember, there are professionals whose day job is to decode firms and markets. If you, a part-time, occasional investor, think you can outsmart them, you are either very lucky or delusional.

What is the Sensex?

You need to be living under a rock deep in the Bay of Bengal to have escaped meeting Mr Sensex. He is Amitabh Bachchan and Shah Rukh Khan rolled into one for the business channels. His movements are closely tracked. When he is